Standard Operating Procedures (SOPs) Inventory, Stores & Warehouse Department

ABC Ltd. | Fraud Prevention & Operational Excellence Framework

Effective: February 2026 | Version 1.0 | Approved by CFO & Owner

Purpose: These SOPs are designed to eliminate fraud risks, ensure accurate perpetual inventory tracking, protect high-value assets, and achieve shrinkage below 1% within six months. Full ERP integration is mandatory within 6 months; interim measures include locked digital logs and comprehensive CCTV coverage.

Policy: Zero tolerance for fraud. Proven cases will result in immediate dismissal, legal prosecution, and full recovery of losses. CFO retains override visibility, final approval authority on all adjustments, and direct escalation for discrepancies.

Expanded Fraud Risk Profile

Drawing from real-world patterns observed in East African food processing and dairy sectors, as well as global manufacturing and distribution:

- **Theft/Pilferage** — Small-scale daily removal or large-scale truckload diversion. Employees may hide goods in personal vehicles, trash bins, or collude with outsiders.
- **Short Receipts / Fake Receipts** — Receiving team colludes with suppliers/transporters to under-report incoming quantities while issuing GRNs for full amounts.
- **Fake Issues to Production** — Over-issuing raw materials to production or creating requisitions for non-existent runs to siphon excess stock.

- **Dummy Stock Adjustments** — Writing off stock as "spoiled" or "damaged" to mask theft.
- **Spoilage Manipulation** — Deliberately mishandling goods (e.g., leaving bags open) to create justifiable losses.
- **Ghost/Phantom Inventory** — Recording non-existent stock to inflate assets or enable fake sales/diversions.
- **Unauthorized Removals** — Collusion to remove goods for personal use or side-selling to informal markets.
- **Transit Losses Exploitation** — Blaming shortages on transport when losses occurred inside the warehouse.
- **Collusion with External Parties** — Paying off security guards or transporters to enable diversion.
- **Finished Goods Diversion** — Loading extra cases onto trucks for black-market sale (common in beverages and packaged foods).
- **High-Value Item Targeting** — Focus on sugar, milk powder, flavors, and essences due to high resale value.
- **Record Tampering** — Manual overrides, backdating entries, or altering digital logs.
- **Spoiled Goods Resale** — Selling "condemned" stock informally instead of destroying it.
- **Employee Collusion Networks** — Organized rings involving stores, production, security, and drivers.

Detailed Standard Operating Procedures

1. Physical Access & Security Controls

- **Restricted Zones** — Warehouse divided into zones. High-value items (milk powder, sugar, flavors) stored in locked cages requiring dual-key access (Stores Head + Finance nominee). Finished goods and chilled/frozen areas kept separate with temperature-controlled locks.
- **CCTV Coverage** — 24/7 high-definition cameras (minimum 20 strategic points). Live monitoring from Nairobi Head Office with local recording. Footage retained for at least 90 days. CFO conducts random weekly reviews.

- **Entry/Exit Logs** — Biometric (fingerprint/face recognition) + RFID badge system. All entries logged with time, person, and purpose. Tailgating strictly prohibited; security verifies identity.
- **No Personal Items** — Mandatory lockers outside warehouse. Thorough bag and personnel checks on entry/exit; metal detectors deployed in high-value zones.
- **Security Personnel** — Third-party independent guards (not company employees). Regular rotation, background checks, and fidelity bonds required. Guards report directly to CFO via separate channel.
- **Vehicle Checks** — All vehicles inspected on exit using underbody mirrors and random unloading. Company vehicles equipped with GPS tracking; loaded trucks sealed.
- **Additional Anti-Fraud Measures** — Random night audits by CFO team; whistleblower rewards for credible reports of suspicious activity.

2. Inventory Management System

- **Perpetual Inventory in ERP** — Real-time tracking of every movement with user ID, timestamp, and reason code.
- **Bin Locations & Batch Tracking** — Fixed bin numbering; mandatory lot/batch tracking for perishables (including receipt date and expiry). System enforces FIFO/FEFO and blocks incorrect picks.
- **High-Value Segregation** — Dedicated locked area with daily stock visibility dashboard accessible to CFO.
- **Temperature & Humidity Monitoring** — Automated IoT sensors with real-time alerts to Nairobi for any deviation beyond acceptable thresholds.
- **Anti-Fraud Controls** — No manual entries without CFO approval; immutable audit trail; system flags unusual patterns (e.g., frequent adjustments by same user).

3. Receiving Process (Incoming Goods)

- **Independent Receiving Team** — Minimum three members: trained Receiver, Quality Inspector, and rotating Finance representative (from Nakuru or Nairobi).
- **Weigh/Measure All Items** — Use calibrated weighbridges and digital scales. Compare actual vs. Purchase Order/delivery note.

- **Seal Verification** — Trucks sealed at origin; seal numbers verified on arrival and broken only in team presence (video recorded).
- **Quality & Quantity Checks** — Mandatory sampling and testing. Full unloading only after approval.
- **GRN Issuance** — System-generated GRN with digital signatures from all three members. Photos/videos of pallets, seals, and weighing mandatory.
- **Discrepancy Handling** — Variances >0.5% (high-value) or >1% (bulk) trigger immediate hold, CFO notification, and root-cause investigation. CCTV review mandatory.

4. Issue to Production / Internal Transfers

- **Digital Requisition** — Raised by Production Head, approved by Production Manager and Plant Head.
- **Weighed Issuance** — Exact quantities weighed at dedicated counter; real-time system deduction.
- **Witness Confirmation** — Production representative present during issue; immediate system entry.
- **FIFO Enforcement** — System auto-suggests oldest lots; any override requires documented CFO approval.
- **Daily Reconciliation** — Issues compared against actual production consumption. Variances >3% automatically flagged to CFO.

5. Stock Counts & Reconciliation

- **Cycle Counts** — Daily/weekly for high-value (A-class) items; bi-weekly/monthly for others. Conducted by independent team.
- **Full Physical Inventory** — Quarterly, supervised by CFO-led team from Nairobi. Annual count with external auditor. Operations frozen during count.
- **Discrepancy Resolution** — Variances >2% trigger immediate CFO investigation and root-cause report within 48 hours. No adjustments without CFO sign-off.
- **Blind Counting** — Counters given no prior access to system records; teams rotated regularly.

6. Scrap, Waste, Spoilage & Write-Offs

- **Daily Logging** — Detailed log with item, quantity, reason, and photos. Approved by Stores and Quality.
- **Weighed & Dual-Approved** — All scrap weighed at designated point with dual sign-off.
- **Abnormality Investigation** — Spoilage exceeding historical averages triggers CFO probe.
- **Disposal Process** — Destroyed under witness (video recorded). Scrap sales only via sealed tender with proceeds directly to company bank.
- **Anti-Fraud Safeguard** — No write-offs without physical evidence and CFO approval.

7. Additional High-Risk Controls

- **Chilling Station Linkages** — Treated as satellite warehouses with same ERP access, CCTV, and monthly surprise audits.
- **Transit Controls** — Tankers sealed + GPS tracked; dispatch quantities cross-verified on arrival.
- **Finished Goods Security** — Palletized, shrink-wrapped, and checked against system gate pass visible to CFO.
- **Employee Controls** — Annual conflict-of-interest declarations; mandatory rotation every 12 months; background checks and optional polygraph for sensitive roles.
- **Training & Awareness** — Monthly fraud red-flag sessions; annual signed anti-fraud code of conduct.
- **Audits & KPIs** — Monthly surprise audits; quarterly forensic reviews; dashboard tracking shrinkage %, variance %, and spoilage rates.
- **Technology Enhancements** — RFID/barcode scanning for high-value items; weight sensors on shelves for real-time anomaly detection.

8. Documentation, Escalation & Accountability

- All records digitized, timestamped, and user-locked with 7-year retention.
- Any red flag escalated to CFO within 24 hours; major incidents to Owner.

- Anonymous whistleblower hotline with protection and rewards (KES 50,000–200,000 for substantiated cases).
- Stores team bonuses tied to low shrinkage (<1%) and clean audits.

> ***Expected Outcome:*** *With rigorous implementation, inventory shrinkage will drop dramatically within 6 months, leading to significant profit improvement and strengthened operational integrity across all depots and plants.*